



among them is the experience of building for the Indian Navy, followed by government incentives such as infrastructure status to builders of large ships (it will lower the cost of capital) and mandatory local sourcing norms (see *Strategic Policies Driving Yard Orders*).

COMPETITIVE LANDSCAPE

India's surface platforms are priced 30-40% lower than the European counterparts. Against the East Asian competitors India doesn't have a clean 30-40% cost advantage. It has lower labour costs than China, South Korea and Japan; but it has higher material and financing

expenses. The Indian warships also have a high (90%) indigenous content. China, however, is far ahead in speed of manufacturing; South Korea's advantage lies in integrating cutting-edge sensors and propulsion; and Japan has a legacy of maritime craftsmanship.

India is relying on modular construction, diplomatic goodwill under the Security and Growth for All in the Region (SAGAR) framework for maritime cooperation in the Indian Ocean Region and competitive pricing to carve out a place for itself in the global market. The government has laid out a plan to buy more than 400 vessels to provide order continuity for the shipyards.